

PROS AND CONS OF USING INTERMEDIARIES

Pros

- › Allows wider market coverage so producer can reach more customers, especially those in distant areas.
- › Minimizes distribution cost for producer as intermediaries are responsible for this service.
- › Provides producer with specialized knowledge of customer buying habits, as well as delivery logistics.

Cons

- › Raises difficulty of making direct communication with customers to learn about their preferences.
- › Increases the risk of slow, inefficient delivery, especially if several intermediaries are involved.
- › Takes away control over how products are handled and displayed at point of sale.



NEED TO KNOW

- › **Channel margin** The cost intermediary adds to producer's selling price, which is added to price paid by customer
- › **Push strategy** Method in which producer promotes products to wholesalers, wholesalers to retailers, and retailers to customer
- › **Pull strategy** Use of advertising and promotion to sell to customer

Example

E-commerce site selling vitamins; they are sent to customer by mail or delivery service.

Consumer

Example

Electronics company distributes its television sets to a chain of retail stores.

Retailer

Consumer

Example

Farmer sells apples to wholesaler, who sells them on to supermarkets.

Wholesaler

Retailer

Consumer

Example

Chocolatier in France uses import agent in Japan to sell its products to wholesalers and on to retailers.

Agent

Wholesaler

Retailer

Consumer